UNITED STATES BANKRUPTCY APPELLATE PANEL
FOR THE SIXTH CIRCUIT

In re: CHIEFTAIN STEEL, LLC, *et al.* Debtors.	BAP No. 19-8005 Appeal From U.S. Bankruptcy Court Western District of Kentucky – Bowling Green
DINSMORE & SHOHL LLP, BINGHAM GREENEBAUM DOLL LLP, FOX ROTHSCHILD LLP, and PHOENIX MANAGEMENT SERVICES, LLC Appellants, v. UNITED CUMBERLAND BANK Appellee.	Originating Case Information Case No. 16-10407 Chapter 11 Hon. Joan A. Lloyd

ON APPEAL FROM THE UNITED STATES BANKRUPTCY COURT FOR THE WESTERN DISTRICT OF KENTUCKY

APPELLANTS' REPLY BRIEF

/s/ Kyle W. Miller
James R. Irving
Kyle W. Miller
BINGHAM GREENEBAUM DOLL LLP
3500 PNC Tower, 101 South Fifth Street
Louisville, Kentucky 40202
Telephone: (502) 587-3606
Email: jirving@bgdlegal.com
kmiller@bgdlegal.com
Counsel for Bingham Greenebaum Doll LLP, Fox Rothschild LLP, and Phoenix Management Services, LLC

/s/ Ellen Arvin Kennedy
(with permission)
Ellen Arvin Kennedy
DINSMORE & SHOHL LLP
250 W. Main Street, Suite 1400
Lexington, Kentucky 40507
Telephone: 859-425-1000
Email: ellen.kennedy@dinsmore.com
Counsel for Dinsmore & Shohl LLP

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INTRODUCTION

In this Chapter 11 case, three law firms and a financial advising firm (the "Professionals") obtained, as is customary, a Carve-Out for their fees. In its Appellee's Brief, United Cumberland Bank ("UCB") does not dispute the validity of that Carve-Out, nor could it. Rather, UCB's sole contention on appeal is that ***it*** is not obligated to honor the Carve-Out, an assertion contrary to the effective working of the entire bankruptcy reorganization process. To be clear, the Professionals are only seeking the sums UCB collected on liens that are subject and subordinate to the Professionals' Carve-Out. While UCB is not required to pay the Professionals' fees out of its own operating budget, it may not retain sums that were explicitly set aside for the Professionals' benefit. Accordingly, the Professionals request that the Bankruptcy Court's Order be reversed.

ARGUMENT

I. IF AFFIRMED, THE BANKRUPTCY COURT'S OPINION WOULD HAMPER FUTURE BANKRUPTCY REORGANIZATIONS.

Carve-out provisions are necessary to foster the reorganization process. *See e.g. In re Evanston Beauty Supply, Inc.*, 136 B.R. 171, 177 (Bankr. N.D. Ill. 1992). "Absent such protection, the collective rights and expectations of all parties-in-interest are sorely prejudiced." *In re Ames Dep't Stores*, 115 B.R. 34, 38 (Bankr. S.D.N.Y. 1990). "It is a tautology that without competent and experienced advisors, debtors-in-possession would have little likelihood of success in their reorganization efforts." *In re Fibermark, Inc.*, 349 B.R. 385, 396 (Bankr. D. Vt. 2006).

Ignoring the Carve-Out the Professionals had already obtained, the Bankruptcy Court opined that the Professionals should bring an adversary proceeding against UCB if it is collecting on pre-confirmation assets. *See* Order, n 1; *see also* Appellee's Brief, p. 5. But, an adversary

proceeding "is not necessary where the relief sought is the enforcement of an order previously obtained." *Solow v. Kalikow (In re Kalikow)*, 602 F.3d 82, 93 (2d Cir. 2010) (quoting *In re WorldCorp, Inc.*, 252 B.R. 890, 895 (Bankr. D. Del. 2000)). Here, the Professionals merely seek enforcement of the Carve-Out already ordered by the Court.

Moreover, UCB is collecting on pre-confirmation assets, and has sworn to that very fact. Indeed, the Final Cash Collateral Order provides:

> Debtor's Stipulations. In connection with the relief provided for herein, the Debtor permanently, immediately and irrevocably acknowledges, represents, stipulates and agrees that:
>
> (i) From time to time prior to the Petition Date, the Debtor borrowed money and received other financial accommodations from United Cumberland (the "United Cumberland Credit"). United Cumberland was granted security interests and liens on, among other things, all of the Debtor's accounts receivable, inventory, equipment, chattel paper, general intangibles and real estate (collectively, the "United Cumberland Pre-Petition Collateral"). The obligations and indebtedness arising from the United Cumberland Pre-Petition Credit shall be referred to as the "United Cumberland Pre-Petition Indebtedness." As of the Petition Date, the outstanding United Cumberland Pre-Petition Indebtedness was as follows:
>
> | | |
> |---|---|
> | Loan #75110 | $2,390,281.30 |
> | Loan #75441 | $753,551.15 |
> | Loan #755803 | $548,346.23 |

DN 246, p 2.

UCB admitted that it has collected on Chieftain's pre-confirmation assets. In support of UCB's Response to the Professionals' Motion to Compel, UCB's Chief Credit Officer provided the following in an affidavit:

> The Affiant in his capacity as loan officer for United Cumberland Bank was responsible for the lending relationship with Chieftain Steel, LLC and Floyd Industries, LLC **and has personally been involved in the liquidation of the cash collateral of Chieftain Steel and Floyd Industries**, as well as the post-confirmation collateral owned by the entity known as The Pennyrile Company, LLC which was result of the post-confirmation merger of Chieftain Steel and Floyd Industries. . .

> As a result of the liquidation of the cash collateral, United Cumberland Bank has recovered $141,977.37.

DN 416-1 ¶¶ 2, 4 (emphasis added).

UCB separates the cash collateral from post-confirmation collateral, and UCB admits that it collected $141,977.37 from the cash collateral, a clear violation of the Cash Collateral Orders in this action. The Court even suggested this would be a violation in its Order, and invited the Professionals to file an adversary action. As an adversary action is not necessary, the Opinion and Order should be reversed and UCB should be required to remit the sums it collected up to the value of the Carve-Out.

II. THE CASH COLLATERAL ORDERS SUBORDINATE UCB'S LIEN'S TO THE PROFESSIONALS' FEES.

UCB contends that it is not obligated to honor the Carve-Out recognized in every Cash Collateral Order, the Plan of Confirmation, and in the Professionals' approved Fee Applications. UCB's defense of this erroneous belief stems from the Carve-Out's requirement that "The Debtor shall pay the Carve-Out as funds permit without causing an overdraft." *See Appellee's Brief* pp. 2, 7. UCB ignores the Carve-Out's clear requirement regarding UCB's rights vis-à-vis the Professionals:

> Payment of any amounts on account of the Post-Petition Replacement Liens, the United Cumberland Pre-Petition Indebtedness, and the United Cumberland Pre-Petition Liens, shall be subject and subordinate to payment of the Carve-Out.

[Docket Nos. 91, 101, 111, 113, 129, 139, 147, 175, 177, 197, 198, 219, 245, and 246 at § 9(a)].

Furthermore the Cash Collateral Orders make UCB's post-petition liens on the post-petition collateral "Subject to the Carve-Out" as well.[*Id.* at § 5]. UCB insists that the Debtor's failure to pay the Carve-Out would somehow destroy the Carve-Out itself. Under UCB's reasoning, the Professionals would become unsecured creditors for no other reason than the

Debtor's refusal to pay its bills. That cannot be the rule. There is no language in the Cash Collateral Orders or Plan to support the notion that the Debtor's failure to pay the Carve-Out negates the subordination of UCB's liens. Therefore, any amount UCB has collected on its liens must be provided to the Professionals up to the Carve-Out amount.

UCB hopes to skate around this issue by limiting the Carve-Out's effect to the term of each Cash Collateral Order. Specifically, UCB argues that the Cash Collateral orders do not "permit the carry forward of any arrears in the payments from the prior budget." *Appellee's Brief* p. 2. If UCB's arguments are accepted, Professionals would have to collect their entire payment during the term of a cash collateral order or be barred from seeking compensation.

UCB's argument has no merit. The Cash Collateral Orders restrict the term the Debtor may use cash collateral before requiring approval from UCB. *See, e.g.* DN 129 ("the cash collateral may be used by the Debtor solely to pay . . . the "Approved Operating Expenses" of its business during the period of September 19, 2016 through December 16, 2016"). UCB does not point to any similar time restriction in the Carve-Out. Nor can UCB find any time restriction in its subordination of its liens to the Carve-Out.

The Bankruptcy Court's Order does not include UCB's "carry forward" argument, nor does UCB's argument make sense in light of the record. The Professionals moved the Bankruptcy Court to award their fees subsequent to the Plan confirmation, as the Plan required and as is common in bankruptcy practice. All fee applications specifically highlighted the Carve-Out as grounds for their award. [See Docket No. 272, 273, 274 at ¶ 5, Granted in Docket No. 303; See also Docket No. 275 at ¶ 10, Granted in Docket No. 306]. The Bankruptcy Court recognized that the Carve-Out carries through all Cash Collateral Orders and the Plan Confirmation itself when it ruled that "Dinsmore is entitled to the payment of the balance of any

unpaid fees and expenses awarded pursuant to this Order from the Carve-Out in accordance with the Court's Orders authorizing the use of cash collateral by the Debtor [DE 51, 91, 113, 139, 147, 219, 246]."

The Bankruptcy Court abused its discretion, however, when it determined that UCB may collect on its pre-petition and post-petition liens (which UCB made subordinate to the Carve-Out) prior to satisfaction of the Carve-Out. The Bankruptcy Court ultimately reasoned as follows:

> Here, a review of the language used in the Carve-Out and the Confirmation Order, support UCB's position. That is, nothing in the Cash Collateral Agreement or the Confirmation Order required payment of the Professionals' fees directly from UCB. Section 9(a) of the Second Cash Collateral Agreement provided for contemporaneous payment of the Carve-Out funds to the Professionals. But more importantly, section 9(a) clearly placed the responsibility for the payments squarely on the Debtor.

Order DN 424 p. 10-11.

The Professionals do not seek to have their fees paid directly by UCB. Instead, the Professionals merely request that the Bankruptcy Court's orders be enforced as written. UCB's prepetition and postpetition liens are subject to the Carve-Out, and UCB is collecting on those liens prior to the Carve-Out's satisfaction.

UCB must remit the sums it has collected up to the Carve-Out amount. Failure to enforce the Carve-Out against the lienholder whose rights were carved-out defeats the entire purpose of carve-out provisions and cuts against the objectives of the Bankruptcy Code. Moreover, courts should not require specific language in Carve-Out provisions to deal with every possible eventuality. While it is true the parties did not foresee the rapid insolvency and liquidation of the Debtors, there is no rule that says unforeseen circumstances invalidate court orders. The existing

Carve-Out language makes UCB's liens subordinate to the Professionals' fees, and does not articulate any action which would undo that subordination.

III. THE PLAN OF REORGANIZATION AFFIRMS THE PROFESSIONALS' RIGHTS TO THE CARVE-OUT.

A. The Plan Retains The Carve-Out.

When a plan of reorganization is "approved by the court, it becomes final, is binding upon the debtor, the security holders, and all other interested parties, and must be enforced as written." *Denver & R. G. W. R. Co. v. Goldman, Sachs & Co.*, 212 F.2d 627, 630 (10th Cir. 1954). The confirmed plan "becomes a binding contract between debtor and its creditors and is to be interpreted in accordance with general contract law." *Id*.

UCB argues that the Plan is not specific enough regarding payment of Professionals from the Carve-Out. *See Appellee's Brief,* p. 9. Yet it cannot cite to any rule of contract interpretation to support its premise.

The Bankruptcy Court held that the Plan of Reorganization "did not subject UCB's liens, mortgages and guaranties to any claims for payment of the Professionals' fees. Nor was there any language in the Confirmation Order shifting the responsibility of payment of the Professionals' fees from the Reorganized Debtor to UCB." [Order pp. 7-8]. But UCB's liens and mortgages were *already* subject to the Carve-Out via the Cash Collateral Orders. If UCB's liens were no longer subordinate to the Carve-Out, then the Plan provisions explicitly referring to the Carve-Out are meaningless. *See* Plan § 3.05; *Siler v. White Star Coal Co.*, 190 Ky. 7, 12, 226 S.W. 102, 104 (1920)("Every word in the agreement must be taken to have been used for a purpose").

B. The Professionals Did Not Release UCB From Its Obligations Under The Carve-Out.

UCB erroneously contends that the Professionals released any claim against UCB in the Plan. *Appellee's Brief,* p. 9. In fact, the Plan only releases certain claims, including a limited release of some parties' claims against UCB:

> As of the Effective Date of the Plan, the **Debtors**, the **Reorganized Debtor**, the **Committee**, and the **Liquidating Trust** shall forever waive, release and discharge any Cause of Action they may have against UCB that arose before the Effective Date, other than those legal rights specifically retained and set forth in the Plan. Among other things, the Committee shall file a notice of dismissal with prejudice, in a form and manner acceptable to UCB, dismissing the adversary proceeding pending as *Committee of Creditors Holding Unsecured Claims v. United Cumberland Bank*, Adv. Pro. No. 16-01042-jal before the Bankruptcy Court (the "UCB Adversary Proceeding").

Plan § 10.10 (emphasis added).

The Carve-Out agreed to in the Cash Collateral Orders is not released under the terms of the Plan. The Plan provides that the Debtors, the reorganized Debtor, the Committee, and the Liquidating Trust released any claims they might have against UCB. [Plan, § 10.10]. However, the Professionals never released or waived their rights to the Carve-Out. This was not accidental. The Professionals were a defined term under the Plan [*See* Plan, § 1.68], and the Professionals negotiated for a release and indemnification under the Plan (*Id*, §§ 10.03 and 10.04). The terms of the UCB release were carefully considered and negotiated, and therefore, the Professionals' omission from the parties releasing UCB should be respected and considered as intentional. *See Palmer v. Commonwealth*, 3 S.W.3d 763, 764 (Ky. App. 1999) (citing *Louisville Water Co. v. Wells*, 664 S.W.2d 525 (Ky. App. 1984)) ("As a general rule of statutory construction, *expressio unius est exclusio alterius* provides that an enumeration of a particular thing demonstrates that the omission of another thing is an intentional exclusion.").

Additionally, the Plan provides that "legal rights specifically retained and set forth in the [Amended] Plan" are retained. [*See* Plan § 10.10]. As the Carve-Out is explicitly mentioned regarding Professional Fee Claims, the legal rights around the Carve-Out are retained. Finally, the same Plan which contains the limited release contemplates the existing Carve-Outs. It would be internally inconsistent if the Carve-Outs were released in the very same Plan that assumes the Carve-Out is in place, and this reading of the Plan must therefore be avoided.

CONCLUSION

The Bankruptcy Court's Opinion and Order should be reversed.

Respectfully submitted:

/s/ Kyle W. Miller
James R. Irving
Kyle W. Miller
BINGHAM GREENEBAUM DOLL LLP
3500 PNC Tower, 101 South Fifth Street
Louisville, Kentucky 40202
Telephone: (502) 587-3606
Facsimile: (502) 540-2215
Email: jirving@bgdlegal.com
kmiller@bgdlegal.com
Counsel for Bingham Greenebaum Doll LLP, Fox Rothschild LLP, and Phoenix Management Services, LLC

/s/ Ellen Arvin Kennedy
(with permission)
Ellen Arvin Kennedy
DINSMORE & SHOHL LLP
859-425-1000
250 W. Main Street, Suite 1400
Lexington, KY 40507
Telephone: 859-425-1000
Email: ellen.kennedy@dinsmore.com
Counsel for Dinsmore & Shohl LLP

CERTIFICATE OF SERVICE

The undersigned hereby certifies that a true and accurate copy of the foregoing was served upon all parties registered to receive electronic notice, via notice by the Court's CM/ECF service, on September 12, 2019.

/s/ Kyle W. Miller
COUNSEL FOR APPELLANTS

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